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Analyst Memo

TradeZone Platform Performance 2023-24

TO:	Head of Growth & Head of Seller Operations	**FROM:**	Data Analytics Team
RE:	Platform Performance for 2023 to 2024		

Introduction

1. Executive Summary

TradeZone experienced extraordinary revenue growth across 2024, with total platform revenue increasing by over 400% compared to 2023, and Q4 2024 alone generating ₦350.8 million compared to ₦72 million in Q4 2023. However, this growth is structurally fragile: 587 high-spending customers account for nearly all platform revenue (₦834.9 million), while customer conversion rates across the top five acquisition states remain below 50%, with Oyo state as low as 28.33%. Without an urgent focus on converting new customers and protecting the quality of the seller experience, the platform risks losing its growth momentum to churn and reputational damage from underperforming sellers.

2. Key Findings

A. New customer conversion is weak across the top 5 states (Query 1)

Lagos led 2024 new customer sign-ups with 142 registrations, but converted only 47.89% of them to a first purchase within 30 days, which means 74 new Lagos customers signed up and never bought anything. Oyo state performed the worst at 28.33% conversion, and no state exceeded 50% conversion.

What this means for the business: The platform is spending resources acquiring customers who are not completing their first transaction. This is the most direct data signal explaining the customer retention drop mentioned by leadership. A customer who does not purchase within their first 30 days is unlikely to return. The acquisition funnel is working; the activation funnel is broken.

B. Platform revenue grew, but Q1 exposed seasonal vulnerability(Query 4)

The first quarter of 2024 recorded the strongest revenue compared to all quarters at 1,544.45%, growing from ₦7.04 million in Q1 2023 to ₦115.8 million in Q1 2024. While all four quarters showed triple-digit growth, Q4 2024 delivered the highest absolute revenue at ₦350.8 million with 1,030 orders, which is more than four times the 234 orders recorded in Q4 2023.

What this means for the business: The platform is scaling rapidly, and the growth trajectory is genuinely impressive.

C. Revenue is highly concentrated in a small group of high spenders(Query 5)

Customers spending ₦100,000 or more in 2024 generated ₦834.9 million in revenue, which was 99.5% of total platform revenue. The remaining 82 customers classified as medium or low spenders contributed a combined ₦3.08 million. The average spend per high spender was ₦1,422,396, compared to ₦69,272 for medium spenders and ₦22,800 for low spenders.

What this means for the business: If even a small portion of the 587 high spenders migrates to a competitor, platform revenue will fall drastically. There is currently no middle tier of reliable medium-value customers to absorb that loss. Growing the medium spender segment to several hundred customers should be treated with priority, or with equivalent importance to new customer acquisition.

3. Recommendations

Team Responsible	***Action***	***Expected Outcome***
Head of Growth, supported by the CRM and Marketing teams.	Design and deploy a structured onboarding journey for all new customer sign-ups. This should include a welcome incentive (e.g. a first-order discount or free delivery voucher) triggered within 48 hours of sign-up, a follow-up reminder at day 7 for customers who have not yet purchased, and a final prompt at day 25. The programme should be prioritised for Oyo and Kano, where the gap is widest.	Within 60 to 90 days, conversion rates in the bottom two states should increase to at least 40%. A 10 percentage point improvement in Oyo alone would convert approximately 6 additional customers per month. This is directly traceable to Query 1 results.
Head of Seller Operations, supported by the Customer Experience team.	Establish a minimum average rating threshold of 3.5 for sellers to remain active on the platform. Sellers falling below this threshold should enter a 30-day performance improvement window with weekly check-ins from the Seller Operations team. Query 3 shows that the fastest fulfilment times do not correlate with the highest ratings. Speed without quality is not retention-positive.	Within 90 days, the proportion of active sellers rated below 3.5 should decrease by at least 30% through either improvement or deactivation. Query 8 shows that 10 sellers already meet the 4.0+ rating and 10+ completed orders threshold. This group should be highlighted as the benchmark and incentivised through the Top Seller bonus programme to demonstrate the standard the platform expects.

4. Data Quality Notes

A. Missing Unit Prices in Order Items

A number of rows in the order_items table had NULL values in both the unit_price and line_total columns. These rows were deleted from the dataset rather than filled with estimated values.

Decision rationale: Without a price, a line item cannot contribute to revenue, order value, or seller performance calculations. Retaining NULL-priced rows would have inflated item count metrics while understating average order values.

If this decision was wrong: If the NULL prices represented real transactions (e.g. promotional free items or data entry failures), deleting them would undercount order volumes and understate the true number of items sold per order.

B. Duplicate Customer Accounts

A number of customers appeared more than once in the customers table with the same email address but different customer IDs and sign-up dates. The account with the earliest sign-up date was retained, and orders linked to the later duplicate accounts were reassigned to the original customer ID before deletion.

Decision rationale: Retaining duplicate accounts would have artificially inflated the new customer sign-up counts in Query 1 and skewed retention analysis by treating the same person as multiple customers.

If this decision was wrong: If the duplicate accounts were intentional, for example, separate business and personal accounts held by the same person, then consolidating them would merge unrelated purchasing behaviour under one customer profile. This would overstate the spend concentration visible in Query 5 and misclassify some customers into higher spend segments. Without additional data (such as billing addresses or account type flags), there is no reliable way to distinguish genuine duplicates from intentional multi-account use.

4. What the data cannot tell us

Business leadership may ask: Why are customers returning less frequently, and what is driving the drop in repeat purchase behaviour specifically?

What the current dataset cannot answer: The existing data captures whether a customer made a purchase and when, but it does not record why customers who purchased once did not return. There is no browse or session data, no cart abandonment log, no customer feedback beyond a single product rating, and no record of whether a customer contacted support or raised a complaint.

Additional data required: A customer event log capturing post-purchase behaviour would be the most valuable addition.